

GREENLOOP ROBOTICS / INTERNAL KNOWLEDGE PACK

Q3 FY2025 Business and Financial Report

Quarter ended 30 September 2025 - management results and operating review

Document ID
FIN-Q3-2025-v1.0

Version
1.0

Document owner
Finance and Strategy

Effective date
20 October 2025

CONFIDENTIAL - FICTIONAL EDUCATIONAL DATA

DOCUMENT CONTROL

Document status and use

This report presents unaudited fictional management results for Q3 FY2025 and comparisons with Q2 FY2025. GreenLoop's fiscal year follows the calendar year; Q2 covers April through June and Q3 covers July through September.

Field	Value
Document ID	FIN-Q3-2025-v1.0
Version	1.0
Owner	Finance and Strategy
Effective date	20 October 2025
Next scheduled review	20 January 2026
Intended audience	Board, executive leadership, functional directors, and authorized analysts
Classification	Confidential - fictional educational dataset

This document describes a fictional company and fictional performance data. It is intentionally written as realistic internal material for retrieval, grounding, fact-checking, and citation exercises.

Version history

Version	Date	Summary	Approved by
1.0	10 Jan 2025	Initial controlled release	Executive Committee
1.0	20 October 2025	Current release with FY2025 operating updates	Finance and Strategy

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Section numbers are stable anchors for retrieval and human review.

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SECTION 1

Executive summary

GreenLoop delivered its strongest quarter to date, with revenue growth across hardware, cloud subscriptions, and installation services. Product field quality and dashboard availability also improved, although multi-item deposits and site conditions remained important support drivers.

Quarter in brief

- Q3 revenue was USD 3.06 million, up USD 0.66 million or 27.5% from Q2 revenue of USD 2.40 million.
- 455 Sorter X1 units were sold in Q3, compared with 320 in Q2.
- Gross margin increased from 43% to 47% as supplier pricing and installation efficiency improved.
- Fleet field classification accuracy increased from 87.9% to 89.1%.
- Cloud dashboard availability was 99.72%, above the 99.5% X1 Pro SLA target.
- Ending active customers increased from 190 to 238, while annual recurring revenue reached USD 2.87 million.

Management view

Growth was led by university and transport-hub programs in the Middle East and Europe. The Q3 result also benefited from improved component availability. Operating loss narrowed, but the company remained loss-making as it invested in model quality, service capacity, and the next hardware revision.

Q3 FY2025: USD 3.06M revenue, 27.5% sequential growth, 47% gross margin, 455 units sold, and 99.72% dashboard availability.

SECTION 2

Quarterly financial highlights

Management accounts are unaudited and shown in USD millions except percentages and per-unit measures. Totals may differ slightly because of rounding.

Metric	Q2 FY2025	Q3 FY2025	Sequential change
Revenue	\$2.40M	\$3.06M	+\$0.66M / +27.5%
Gross profit	\$1.03M	\$1.44M	+\$0.41M
Gross margin	43%	47%	+4 percentage points
Operating expenses	\$1.48M	\$1.67M	+\$0.19M
Operating loss	(\$0.45M)	(\$0.23M)	\$0.22M improvement
Ending cash	\$4.62M	\$4.85M	+\$0.23M
Units sold	320	455	+135 / +42.2%

Sequential revenue calculation

The USD 0.66 million increase divided by Q2 revenue of USD 2.40 million equals 27.5%. This report uses sequential comparison for Q2 to Q3 and does not present a year-over-year comparison because the FY2024 management dataset is outside this knowledge pack.

Operating result

Q3 gross profit of approximately USD 1.44 million did not fully cover USD 1.67 million of operating expenses, resulting in an operating loss of approximately USD 0.23 million.

SECTION 3

Revenue by stream

Hardware remained the largest revenue stream, while cloud subscriptions grew fastest in percentage terms. Installation revenue increased with unit volume; support and maintenance revenue declined slightly because several legacy service projects ended.

Revenue stream	Q2	Q3	Q3 mix	Change
X1 hardware	\$1.42M	\$1.86M	60.8%	+31.0%
Cloud subscriptions	\$0.48M	\$0.65M	21.2%	+35.4%
Installation services	\$0.31M	\$0.37M	12.1%	+19.4%
Support and maintenance	\$0.19M	\$0.18M	5.9%	-5.3%
Total	\$2.40M	\$3.06M	100.0%	+27.5%

Hardware revenue

The Q3 average recognized hardware revenue was lower than published list price because the mix included distributor arrangements, education units, bundled contracts, volume discounts, and revenue allocation across hardware and service obligations.

Recurring revenue

Cloud subscription growth reflected the installed base, a higher Pro mix, and 48 net new active customers. Subscription revenue is recognized over the service term and therefore does not equal annual recurring revenue.

SECTION 4

Revenue by geography

The Middle East remained the largest region. Europe increased after two transport-hub programs entered deployment. North Africa grew at a slower rate because one installation moved into Q4.

Region	Q3 revenue	Share	Primary driver
Middle East	\$1.33M	43.5%	Universities and shopping centers
Europe	\$0.92M	30.1%	Transport and corporate campuses
North Africa	\$0.51M	16.7%	Municipal and education projects
Other markets	\$0.30M	9.7%	Partners and pilot deployments
Total	\$3.06M	100.0%	-

Concentration

The largest customer represented 9.4% of Q3 revenue and the five largest represented 31.6%. No single distributor represented more than 12% of quarter-end accounts receivable.

Currency

Most contracts are denominated in USD or EUR. Q3 revenue includes a USD 0.03 million favorable translation effect. The company does not designate formal currency hedges in these management accounts.

SECTION 5

Customers and subscriptions

The active customer base expanded as pilots converted into multi-unit contracts. Customer metrics count contracted organizations rather than individual sites.

Metric	Q2	Q3
Ending active customers	190	238
Net new active customers	31	48
Customers with 10 or more units	42	57
Customers with 50 or more units	12	17
Annual recurring revenue	\$2.32M	\$2.87M
Gross revenue retention	93%	95%
Cloud Pro share of subscribed units	41%	48%

Customer definition

An active customer has at least one deployed or contracted unit and no complete termination at quarter end. A multi-site legal entity is counted once unless separate contracting entities operate independently.

Churn

Four small customers ended service in Q3. Reasons included site closure, budget reduction, and unsuccessful pilot economics. Management did not attribute any complete customer loss solely to multi-item classification errors.

SECTION 6

Hardware units and deployments

Q3 unit volume increased 42.2% sequentially. Sold units and commissioned units differ because shipping, site readiness, installation scheduling, and customer acceptance can cross quarter boundaries.

Unit metric	Q2	Q3
Units sold	320	455
Units shipped	305	438
Units commissioned	276	401
Quarter-end connected fleet	1,842	2,228
Education variant share of units sold	14%	12%
Pro configuration share of units sold	44%	51%

Deployment timing

Fifty-four shipped Q3 units were awaiting commissioning at quarter end. The largest constraints were customer power work, network approval, and delayed floor preparation rather than GreenLoop installation labor.

Backlog

Confirmed hardware backlog was USD 2.14 million at quarter end. Management expects most of the backlog to ship in Q4, subject to site readiness and component availability.

SECTION 7

Gross margin and operating expenses

Gross margin improved as purchasing scale, lower expedited freight, and standardized installation offset warranty provision and support costs.

Operating expense	Q2	Q3	Comment
Research and development	\$0.54M	\$0.62M	Model quality and Rev C prototypes
Sales and marketing	\$0.39M	\$0.43M	Regional pipeline and events
General and administrative	\$0.31M	\$0.34M	People, finance, legal, systems
Customer operations	\$0.24M	\$0.28M	Service capacity and training
Total operating expenses	\$1.48M	\$1.67M	+12.8% sequentially

Gross margin drivers

- Lower controller and steel purchase price at committed volume.
- Reduced air freight and fewer emergency component substitutions.
- Higher Pro subscription mix.
- Improved installer utilization and repeatable site kits.
- Partly offset by warranty reserve and lens-kit replacements.

Path to break-even

Management expects further improvement to require recurring-revenue growth, stable component cost, lower rework, and disciplined hiring. Q3 growth alone does not establish sustainable profitability.

SECTION 8

Cash and working capital

Quarter-end cash increased despite the operating loss because collections improved and customers made deposits on larger Q4 deployments.

Metric	Q2	Q3
Ending cash	\$4.62M	\$4.85M
Accounts receivable	\$1.41M	\$1.68M
Inventory	\$1.12M	\$1.27M
Customer deposits	\$0.58M	\$0.81M
Days sales outstanding	52 days	49 days
Inventory turns, annualized	2.8x	3.1x

Collections

Collections were strongest among university and corporate customers. Two municipal receivables totaling USD 0.21 million were more than 60 days past due but remained within approved payment plans.

Liquidity

The management forecast indicates sufficient cash for at least twelve months under the base plan. The conclusion depends on collections, backlog conversion, spending discipline, and no severe supply disruption.

SECTION 9

Classification performance

Field accuracy is calculated from the approved Q3 evaluation sample across connected production units. It is not directly equivalent to the controlled 93.2% laboratory macro accuracy in the product specification.

Class	Q3 field accuracy	Product lab accuracy
Paper	94.8%	96.1%
Plastic	91.2%	94.0%
Metal	93.6%	95.2%
Organic	86.4%	91.0%
Other	79.5%	89.7%
Macro average	89.1%	93.2%

Sequential improvement

Fleet field macro accuracy increased from 87.9% in Q2 to 89.1% in Q3, an improvement of 1.2 percentage points. The Q3 field result remained 4.1 percentage points below the controlled laboratory result.

Conditions

The field sample included variation in lighting, cleanliness, packaging, user behavior, maintenance, and local waste mix. Management considers the comparison useful for direction but not proof that one condition caused the full gap.

Q3 field macro accuracy: 89.1%. Controlled product-specification laboratory macro accuracy: 93.2%. Difference: 4.1 percentage points.

SECTION 10

Quality incidents and support drivers

Classification-related support tickets declined despite fleet growth. Multi-item deposits remained the largest identified ticket category, followed by dirty items and lighting outside the preferred range.

Classification ticket driver	Q3 tickets	Share
Multiple or overlapping items	15	30.6%
Wet or heavily food-soiled items	13	26.5%
Lighting or glare	10	20.4%
Dirty or fogged camera lens	6	12.2%
Other or undetermined	5	10.2%
Total classification-related tickets	49	100.0%

Trend

Classification-related tickets decreased from 68 in Q2 to 49 in Q3 while the connected fleet increased. Prompt changes, operator training, and maintenance reminders contributed to the decline.

Financial attribution

Finance tracks total support payroll, parts, service travel, credits, returns, and customer-level revenue. It does not maintain an approved causal allocation of revenue lost specifically because of multi-item classification errors. No exact revenue-loss amount can be supported from this report.

The report documents 15 Q3 multi-item tickets but does not disclose or calculate revenue lost specifically because of them.

SECTION 11

Cloud reliability and security

The dashboard exceeded the 99.5% X1 Pro monthly availability target in each month of Q3 and achieved 99.72% for the quarter on the contracted measurement basis.

Metric	Q2	Q3
Dashboard availability	99.61%	99.72%
P1 cloud incidents	1	0
P2 cloud incidents	3	2
Median P2 restoration	71 minutes	46 minutes
Confirmed customer data breaches	0	0
Critical vulnerability remediation within target	100%	100%

Availability comparison

Q3 availability exceeded the 99.5% target by 0.22 percentage points. Planned maintenance and customer-network outages were excluded according to the service-level definition in the product specification and customer orders.

Security

There were no confirmed customer data breaches in Q3. Security investigated seven alerts involving suspicious sign-in or device behavior; all were contained or closed without confirmed customer-data exposure.

Q3 dashboard availability of 99.72% met the 99.5% X1 Pro SLA target.

SECTION 12

Customer success and retention

Customer experience improved, but product limitations, site readiness, and maintenance discipline remained visible in support demand.

Metric	Q2	Q3
Net Promoter Score	46	54
Median first support response	2.4 hours	1.9 hours
Cases resolved within target	87%	91%
Product returns	18	13
Return rate on units sold	5.6%	2.9%
Customers completing operator training	72%	84%

Top themes

Customers valued fill alerts, multi-site analytics, and reduced manual audits. Requests focused on better handling of multiple items, local packaging types, additional dashboard exports, and clearer maintenance prompts.

Credits

Total service credits issued in Q3 were USD 18,000. None related to a quarterly dashboard availability miss. Credits primarily covered delayed installations and hardware downtime at three sites.

SECTION 13

Manufacturing and supply chain

Production output increased without a proportional increase in rework. Component availability improved, but the company retained alternate-source work for cameras, controllers, and motor drives.

Metric	Q2	Q3
Completed units	338	472
First-pass manufacturing yield	91.8%	94.6%
Average unit build time	19.4 hours	17.1 hours
Expedited freight	\$74K	\$29K
Supplier on-time delivery	86%	92%
Warranty provision as revenue	2.8%	2.5%

Constraints

A lens-seal batch required inspection and replacement before shipment. The issue did not create a safety hazard but could have increased fogging and reduced image quality if undetected.

Q4 readiness

Committed components cover approximately 82% of the base Q4 production plan. Remaining exposure is concentrated in industrial SSDs and cellular gateway lead time.

SECTION 14

People and operating capacity

Headcount increased to support field service, customer success, model quality, and finance controls. Work-mode policies remained role based because laboratory and field work cannot be performed as ordinary remote work.

Function	Q2 ending	Q3 ending
Product and engineering	48	55
Manufacturing and quality	27	31
Customer operations	29	35
Sales and marketing	16	18
People, finance, legal, administration	8	9
Total employees	128	148

Work mode

Software, AI, data, design, finance, people, and marketing roles remained eligible for up to three remote days per week. Hardware and validation roles normally required four laboratory days. Customer support used a coverage roster, and field service followed customer schedules.

Safety and learning

Q3 recorded zero lost-time injuries and four reported near misses. Mandatory security training completion was 98%; the remaining completions were scheduled after approved leave.

SECTION 15

Environmental impact indicators

Impact metrics estimate activity enabled by connected units. They do not establish final downstream recycling without customer or waste-partner evidence.

Indicator	Q2	Q3
Connected fleet at quarter end	1,842	2,228
Recorded item deposits	18.6M	24.9M
Estimated material directed from general waste	2,110 tonnes	2,840 tonnes
Customers exporting sustainability reports	71	104
Remote diagnostic resolutions	61%	68%

Method

Estimated diverted mass combines calibrated sample weights, class counts, and customer waste configuration. The estimate excludes events routed to Other and sites without minimum data completeness.

Limitations

Recorded routing does not prove that a waste partner recycled the material. Wetness, residue, liners, rejected loads, and local recycling rules affect final outcome.

SECTION 16

Principal risks and mitigations

Management reviews product, operational, commercial, security, compliance, and financial risks each quarter. Risk descriptions are not forecasts of certain events.

Risk	Q3 assessment	Primary mitigation
Field accuracy below customer expectation	High	Site controls, monitoring, model and prompt updates
Multi-item user behavior	High	One-item design prompts and customer education
Component supply interruption	Medium	Dual source and committed inventory
Customer site-readiness delays	Medium	Readiness gate before shipping
Cloud or security incident	Medium	Layered security, monitoring, response exercises
Liquidity and path to profitability	Medium	Collections, margin, phased hiring
Regulatory and waste-claim variation	Medium	Market review and claim controls

Interdependence

A maintenance lapse can reduce image quality, increase support demand, lower customer confidence, and create financial pressure. Risk owners therefore use shared operational evidence rather than treating product and financial risks as independent.

SECTION 17

Q4 outlook

Management expects continued growth but a slower sequential rate after the Q3 shipment increase. The outlook is a planning range, not a guarantee.

Q4 planning metric	Range or target
Revenue	\$3.35M to \$3.55M
Gross margin	46% to 49%
Units sold	470 to 510
Dashboard availability	At or above 99.5% contractual target
Field macro accuracy	At or above 89.5% on approved sample
Ending active customers	255 to 270

Priorities

- Deliver committed university and transport deployments.
- Reduce multi-item and dirty-lens support drivers.
- Expand Pro subscription adoption.
- Complete Rev C design verification without disrupting Rev B supply.
- Maintain collections and selective hiring discipline.

Uncertainty

Revenue timing remains sensitive to customer site readiness, acceptance, distributor schedules, and component delivery. Accuracy targets depend on evaluation sample and operating conditions.

SECTION 18

Definitions and management notes

Definitions prevent unsupported comparison across product, financial, and operational sources.

Term	Management definition
Revenue	Unaudited recognized revenue under management accounting policies
Unit sold	Unit included in an executed customer transaction and revenue schedule
Connected fleet	Commissioned units reporting within the quarter-end activity window
Field accuracy	Accuracy on the approved, labeled fleet evaluation sample
Lab accuracy	Controlled result defined in PRD-GLX1-2025-v2.1
Dashboard availability	Eligible-minute calculation defined by the X1 Pro SLA
Revenue loss by cause	Requires an approved causal finance allocation; not estimated here

Source boundaries

This report supports the financial and operating claims stated here. It does not replace employee policy, product safety instructions, customer contracts, audited financial statements, or legal advice.

Unsupported inference warning

A ticket count, limitation, or customer comment does not by itself prove a specific amount of lost revenue. Analysts must state when the documents do not provide sufficient evidence.

SECTION A

Appendix - consolidated KPI table

The appendix collects frequently queried Q2 and Q3 metrics. Definitions remain those in Section 18 and the relevant operating sections.

KPI	Q2 FY2025	Q3 FY2025
Revenue	\$2.40M	\$3.06M
Gross margin	43%	47%
Operating loss	(\$0.45M)	(\$0.23M)
Units sold	320	455
Active customers	190	238
Annual recurring revenue	\$2.32M	\$2.87M
Connected fleet	1,842	2,228
Field macro accuracy	87.9%	89.1%
Classification tickets	68	49
Multi-item tickets	Not separately reported	15
Dashboard availability	99.61%	99.72%
Confirmed customer data breaches	0	0
Net Promoter Score	46	54
Ending employees	128	148

Management approval

Prepared by Finance and Strategy with inputs from Product Quality, Cloud Operations, Customer Operations, Manufacturing, People and Culture, and Information Security. Approved for the fictional educational knowledge pack on 20 October 2025.

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